

Executive Summary — Decoding Customer Value (Deliverable 5)

A SQL-Driven Retention Strategy · D2C Fashion Brand · 3,900 customers

The strategic question: *Is the business building a loyal customer base, or renting revenue with discounts — and what should we do under either scenario?*

The answer, in one line: The brand has a **thin but real loyal core (7%)**, is giving away margin on **43% of customers for zero measurable return**, and can grow profitably by **sunsetting promotions and acquiring more of its proven Ideal Customer**.

What the data shows

1. **Discounts buy nothing.** Discounted customers spend **\$59.28 vs \$60.13** at full price, with identical satisfaction (3.74 vs 3.76) and repeat rate. Yet **43% of the base (\$99K, ~43% of revenue) is promo-attached** — margin surrendered for no behavioural lift.
 2. **The loyal core is thin.** Using a margin-safe definition (full-price **and** satisfied), only **24% of customers are genuinely loyal**, and just **7% (281) are Ideal Loyalists** (also frequent repeat buyers). The customer pyramid is wide at the bottom (passive + bargain-hunters) and narrow at the top.
 3. **A note on rigour:** the dataset has no loyalty score, churn label, or timestamps, and its variables are statistically near-independent. Every segment here is therefore a **transparent, rule-based construct traceable to specific variables** — not an assumed label. We built **two competing loyalty definitions** and adopted the margin-safe one because it is the only definition that answers the founders' actual question.
 4. **The Ideal Customer is identifiable.** Spends above average, ~37 prior purchases, rates 4.5/5, pays full price, ~44 years old, **skews female (52%)** despite a 68%-male base, buys Clothing/Accessories Bi-Weekly to Monthly.
 5. **Organic demand is under-leveraged.** Arizona, Kansas, Alaska, Tennessee and Michigan show high customer value with **low discount reliance** — genuine brand pull the brand hasn't deliberately targeted.
-

Recommendations

#	Action	Trade-off / risk
1	Sunset promotions in two phases — swap subscriber discounts for non-price perks first, then tighten bargain-hunter offers. Never discount the loyal core.	Some price-only volume will lapse — acceptable, as it carries no margin or loyalty.
2	Acquire Ideal-Customer lookalikes — female, 35–55, full-price, via Clothing/Accessories entry.	Full-price acquisition converts slower but yields far higher lifetime value.
3	Invest in organic-demand states before discount-driven ones.	Concentrates spend; revisit quarterly as the map shifts.
4	Service-recover the 680 At-Risk customers (rating < 3) — with support, not discounts.	Requires ops effort; discounting them fixes nothing.

Track one number: full-price revenue share (today ~57%). The strategy is working if it **rises while total revenue holds** — proof the brand is building loyalty, not buying it.

Supporting analysis: `customer_value_analysis.ipynb` (features), `segmentation_queries.sql` (segmentation), `PowerBI_build_guide.md` (dashboard), `retention_playbook.md` (full plan).